

Tempus AI, Inc.

TEM NASDAQ

Buy \$50.84 ▲ 4.20% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32

Market Cap \$9.13B

TEM: Bouncing Back On Pathology Consortium Buzz

WHAT'S CHANGED

- Stock popped 4.2% to \$50.84 today, building on news that Tempus launched an open-source digital pathology consortium — basically, they're getting other hospitals and researchers to collaborate on their AI platform, which makes their tech stickier.
- Options traders are loading up on bullish bets — call buying (bets that the stock goes up) is running 4x put buying (bets it goes down), which usually means smart money is positioning for a move higher.

IMPLICATIONS

TEM has been crushed this year — sitting at just 15% of its 52-week range, meaning it's much closer to the lows (\$41) than the highs (\$104). The pathology consortium news matters because it signals Tempus is becoming infrastructure for AI in healthcare, not just another vendor. If you're holding, the bullish options flow plus the bounce off lows suggests the worst of the selling may be behind us — but the CEO dumping \$3M+ in shares last month is a yellow flag you can't ignore.

VALUATION

At a \$9.1B market cap on roughly \$710M of expected 2026 revenue, investors are paying about \$13 for every \$1 of sales — that's actually reasonable for a company growing 30%+ in healthcare AI, where peers often trade at \$15-20 per dollar of revenue. The company is still losing money (about \$2 per share), so this isn't a value stock — you're paying for future growth. I see 30-35% upside to \$68 over 12 months if execution holds.

KEY RISKS

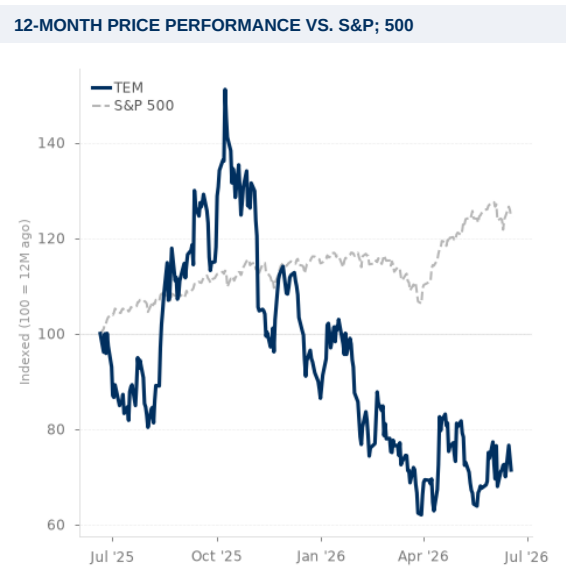
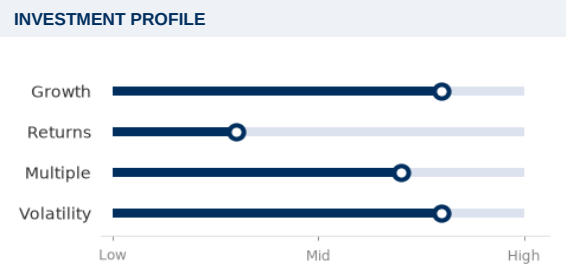
- The CEO sold over \$3 million in stock in late May — when the boss is selling, you have to ask why, even if there's a "planned sale" excuse.
- They're burning cash and not profitable yet, which means if the IPO market sours they might have to raise money by selling more shares (diluting your stake).
- Healthcare AI is getting crowded fast — bigger players like Google Health and Microsoft could eat their lunch if Tempus doesn't lock in hospital relationships now.

RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

| Key Data            |          |
|---------------------|----------|
| Price (USD)         | \$50.84  |
| 12M Price Target    | \$68.00  |
| Upside / (Downside) | +33.8%   |
| Market Cap          | \$9.13B  |
| FY2026E Revenue     | \$710M   |
| FY2027E Revenue     | \$955M   |
| FY2026E EPS         | (\$2.05) |
| FY2027E EPS         | (\$1.40) |
| Fwd P/E             | N/M      |



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$58.00   | \$52.00   | \$44.00   |
| 6 Months  | \$75.00   | \$60.00   | \$40.00   |
| 1 Year    | \$95.00   | \$68.00   | \$35.00   |
| 2 Years   | \$130.00  | \$85.00   | \$30.00   |
| 5 Years   | \$220.00  | \$130.00  | \$22.00   |
| 10 Years  | \$450.00  | \$220.00  | \$18.00   |

SECTOR INTELLIGENCE

**HEATING UP:** Healthcare AI, digital pathology, and anything tied to drug discovery automation — money is chasing real AI applications, not just chatbots.

**COOLING OFF:** Pure-play diagnostics labs without an AI angle, and richly-valued large-cap AI names where the easy money's been made.

**ROTATION WATCH:** Investors are rotating out of mega-cap AI darlings and into smaller, beaten-down AI names with real revenue — that's exactly where TEM sits, which explains the recent options activity.

**RELATED PLAY:** If Tempus's pathology consortium gains traction, companies that provide the underlying data infrastructure (think Veeva or even Schrödinger on the drug discovery side) benefit too.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharmaceuticals): AI drug discovery peer that's been rallying on partnership announcements with big pharma.
- SDGR (Schrödinger): Up on computational drug design wins — similar "AI meets healthcare" story but more profitable.

**TEM CONTEXT:** TEM has been lagging — down 23% YTD while AI peers held up better. The recent bounce suggests it's playing catch-up, which is often where the best risk/reward sits.

INVESTMENT STRATEGY

7/10 Conviction Score

**CONVICTION:** 7/10 — Strong story and bullish options flow, but the insider selling and lack of profits keep me from going max conviction.

**POSITION SIZE:** 2-4% of portfolio — this is a volatile, unprofitable growth name, so you size it like a high-risk swing, not a core holding.

**ENTRY POINTS:** I'd buy in tranches — start now around \$50, add aggressively if it dips to \$45, and back up the truck if it ever revisits \$42.

**TIME HORIZON:** 12-24 months — you're waiting for 2-3 strong earnings reports to prove the AI healthcare thesis is real.

**WHEN TO BAIL:** Sell if revenue growth drops below 20%, if they announce a big secondary stock offering, or if the CEO keeps unloading shares quarter after quarter.

**HEDGING:** Buy cheap out-of-the-money puts (like the \$45 strikes) as insurance — costs you a little premium but protects against a 20%+ crash if earnings disappoint.